



DALAL & BROACHA
STOCK BROKING PVT. LTD.

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Policy for inactive/dormant client accounts:

- Inactive client means client who is inactive during last 12 months immediately preceding the end of the previous month.
- In case of trading account, the term inactive account refers to such account wherein no trades have been carried out since last 12 (Twelve) months across all Exchanges.
- A list of inactive clients shall be prepared from the back office software periodically. Changes in the method identifying dormant clients will be as per the periodic exchange circulars & guidelines.
- Such clients will be checked against any transaction in their respective demat account mapped against trading account and if there are no transactions in demat account as well then the account will be flagged as 'Inactive' by KYC department in UCC database of all the respective Exchanges
- Any further trading by such client shall be allowed after undertaking sufficient due diligence (including IPV) and obtaining the updated information related to KYC from the concerned Client. Appropriate disciplinary actions may be initiated in case of any trades are executed in any account flagged as 'Inactive', as per management confirmation
- AP/Branch/RM/Dealer shall be required to undertake the fresh documentation, due diligence and IPV where a client is coming for reactivation after a period of 1 year of being flagged as inactive i.e. after 2 years from their last trading date. However, in case a client has undertaken transaction through D&B, with respect to IPO/Mutual Fund subscription and DP operations during this period, the same shall be considered and the requirement for fresh documentation, due diligence, and IPV may not be required. KYC department will verify such data based on the available information.
- In case a client seeks re-activation before a period of 1 year of being flagged as inactive, KYC department shall, while reactivating the client, ensure that the basic details of such client like Address, Mobile number, Email ID, Bank/DP account are updated in its records as well in the UCC records of the Exchange. In case of any changes, necessary documents shall be collected
- Client will be informed about the status of UCC being flagged as inactive and requirement of Re-KYC.
- A copy of the list of clients marked as inactive will be shared by KYC department with dealers who operate our BOLT or NEAT terminals.
- It will also be shared by KYC department with Risk Management department who shall mark the client status as "inactive" or "dormant" in various front office software of CTCL and IML and back office accounting software.

- After reactivation, if any orders are received, the dealer shall take reasonable steps to identify the identity of the client to ensure that the orders are received from the same client. The dealer shall use various techniques like call back, asking personal detail questions, last trade date, outstanding positions etc. to confirm the identity of the caller. They may use any other technique which is reasonable. In case of a doubt the case shall be referred to the management or concerned Branch/AP.
- In case the client submits CKYC/KRA details for updating, then it will be checked against the account information in back office & UCC records & changes if any will be updated in UCC portal & back office software and such date will be considered as Re-KYC date.
- Actual settlement of fund shall be done as per norms/guidelines provided by the Exchanges/ SEBI from time to time.
- In case accounts department is unable to settle the client accounts due to non-availability of client's bank account and demat account details and non-traceability of client, all efforts to trace the clients to settle their funds will be made by them and audit trail for such efforts made for tracing such clients and settling funds shall be maintained.
- In case if accounts department is unable to trace such clients in spite of all efforts, it will;
 - i. Open & maintain a separate Client Bank will be maintained and they will immediately set aside the funds of these clients in such account.
 - ii. Maintain audit trail of UCC wise client funds transferred to/from such bank account
 - iii. Submit UCC wise fund information of such account to the Exchange as per the mechanism and the format prescribed by exchange
 - iv. In case of receipt of any claims from such clients, accounts department will settle the accounts immediately and ensure that the payment/delivery is made to the respective clients only.
- Details of such transfers and inactive clients will be reported in weekly submissions as per the exchange guidelines from time to time.

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N. Dalal

(Nailesh P Dalal- Designated Director)



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V. Dalal

(Vipul P Dalal- Designated Director)